One commenter stated that "SBS Entities that rely on substituted compliance pursuant to Exchange Act Rule 3a71-6 would face particularly undue timing pressures, as substituted compliance orders generally require these firms to submit their home country CCO Reports no later than 15 days from submission to the entity's management body."[363] That commenter added that if the Commission does require "firms to use specific tags in their CCO Report […] it should allow substituted compliance firms to continue submitting home-country reports in their current form."[364] Another commenter stated that the Commission should require a single process for all CCO reports, because "[a]llowing reporting entities to report in different formats, using different standards, will lead to confusion and added expense in the marketplace."[365] That commenter continued that "[p]rocessing data in structured, machine-readable XBRL format takes seconds" compared to much-longer processing times for HTML, PDF, and image files.[366] As stated previously, requiring CCO reports to be submitted in Inline XBRL structured data format facilitates access to the information included on the CCO reports, enabling automated data retrieval and aggregation, which allows Commission staff to perform more efficient analysis and comparison of the disclosures across different SBS Entities and time periods.[367] These benefits apply equally whether an SBS Entity is complying directly with Rule 15fk-1 or relying on a substituted compliance order.[368] With respect to the comment raised about undue timing pressure, that same commenter acknowledged that any actual timing challenge was unknown and

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363 See SIFMA 5/22/2023 Letter at 5.

364 See id. at 7.

365 See XBRL Letter at 9.

366 See id. at 10.

367 For further discussion of the structured data requirements, see infra section VII.A.

368 For further discussion of structured data requirements for firms relying on substituted compliance, see supra section I.F.

based on an assumption about the "number of tags typically associated with Inline XBRL reports" and expectation that the required changes would be quite broad.[369]

The Commission disagrees with the commenter. The substance of the commenter's objection is about the perceived burden and costs associated with the anticipated taxonomy, which we address below,[370] rather than an identified timing concern. Permitting SBS Entities relying on substituted compliance to avoid the structuring requirement, while requiring SBS Entities complying directly with Rule 15fk-1 to submit structured CCO reports, would decrease the staff's ability to inspect, examine, and supervise the compliance of those SBS Entities.[371] It would also hamper the staff's ability to perform more efficient retrieval, aggregation, and comparison across different SBS Entities and time periods.[372] Finally, permitting SBS Entities relying on substituted compliance to avoid the structuring requirement for home country reports would result in an uneven framework that imposes additional requirements on SBS Entities complying directly with Rule 15fk-1.

SBS Entities, including those relying on substituted compliance, will not be required to submit CCO reports in Inline XBRL format until January 1, 2026, which will give SBS Entities sufficient time to adapt to the new Inline XBRL requirements and enable the development of

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369 See SIFMA 5/22/2023 Letter at 5.

370 See infra sections X.C.2.b, IX.D.9 and IX.D.15. As further explained in the Economic Analysis and Paperwork Reduction Act, the Commission revised its estimates in the initial compliance year to account for the additional burden of determining which narrative descriptions within its home country report correspond to descriptions addressed in Rule 15fi-1(c)(2) and must therefore be tagged. However, on an ongoing basis firms that rely on substituted compliance will incur the same costs to tag home country reports as firms that do not rely on substituted compliance, because in each case, the firm will incur the cost of applying Inline XBRL tags to the same information required by the Exchange Act. See infra note 676 (outlining that the total annual hour burden is 98 hours per respondent in the initial year, 5 hours of which is structuring, and 96 hours per respondent in subsequent years, 3 hours of which is structuring).

371 See, e.g., Order Granting Conditional Substituted Compliance in Connection with Certain Requirements Applicable to Non-U.S. Security-Based Swap Dealers Subject to Regulation in the Swiss Confederation, 86 FR 57455, at 57456 (Oct. 15, 2021).

372 See Proposing Release at 23959. See also infra section X.C.2.b.

systems or tools that can generate Inline XBRL tagging of those reports, including home country reports submitted by SBS Entities relying on substituted compliance. SBS Entities will also have an opportunity to provide technical feedback on the proposed taxonomies once they are published (prior to January 1, 2026), including whether SBS Entities relying on substituted compliance anticipate specific technical difficulties as a result of those proposed taxonomies.[373] While technical feedback on the proposed taxonomies will be welcomed and considered, the fundamental requirement to provide CCO reports using structured data will not change during that process. Any input on confusion raised by the tagging process can be provided as technical feedback after the proposed taxonomies are published. Finally, to the extent SBS Entities relying on substituted compliance can demonstrate difficulty submitting structured home country reports within the 15-day time frame without incurring unreasonable effort or expense, the Commission will consider requests for an extension of time in order to satisfy the structuring requirement.

VI. Amendments Regarding the FOCUS Report and Signature Requirements in Rule 17a-5, 17a-12, and 18a-7 Filings

This release adopts a number of amendments to the FOCUS Report to correct technical errors and provide clarifications, with the goal of improving the accuracy of the information the Commission collects on the FOCUS Report. In addition, the Commission is allowing electronic signatures in Rule 17a-5, 17a-12, and 18a-7 filings, including the FOCUS Report. The amendments are described in more detail below.

A. Corrective and Clarifying Amendments to the FOCUS Report

1. Computation of Minimum Regulatory Capital Requirements

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[373] See infra sections VII.A (discussing the draft taxonomy publication process) and X.C.2.b (specifying estimated cost ranges for the structuring of CCO reports and home country reports, with expected costs ranging from approximately $1,200 to $6,200 in the first year of compliance).

Rule 15c3-1 instructs a broker-dealer that is also a futures commission merchant ("FCM") to report the greater of the broker-dealer ratio requirement or "4 percent of the funds required to be segregated" pursuant to the CFTC rules.[374] However, the Calculation of Minimum Net Capital Requirement subsection in the broker-dealer Computation of Minimum Regulatory Capital Requirements section of the FOCUS Report Part II does not include a reference to the 4% of segregated funds ratio even though this section of the form is intended to document a firm's Rule 15c3-1 calculation. To align the FOCUS Report's net capital computation with Rule 15c3-1, the Commission proposed to add a line for the reporting of 4% of segregated funds and to renumber other lines to clarify in the FOCUS Report when certain computations should be made as set forth in Rule 15c3-1's net capital computation. These changes were intended to conform the FOCUS Report to Rule 15c3-1, with no substantive impact on the broker-dealer's required capital computation under Rule 15c3-1.[375] The Commission received no comment on renumbering lines to clarify at what point in the net capital computation to compute the percentage of the risk margin amount (if applicable) and the 10% addition for broker-dealers engaged in reverse repurchase agreements, and for the reasons discussed above, is adopting these changes as proposed.

The Proposing Release requested comment on whether to amend Rule 15c3-1, as well as Rule 15c3-1d which also cross-references the CFTC's segregated funds requirement in identifying conditions for satisfactory subordination agreements, and solicited comment on

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374 See 17 CFR 240.15c3-1(a)(1)(iii).

375 The Commission proposed the following changes to the Calculation of Minimum Net Capital Requirement subsection in the Computation of Minimum Regulatory Capital Requirements section of FOCUS Report Part II: (1) delete old Line 5Bi; (2) add new Line 5C; (3) add a subtotal line as new Line 5D and renumber subsequent lines and line references accordingly; and (4) move old Line 5D to new Line 7 and renumber subsequent lines and line references accordingly.

whether the Commission should amend Rules 15c3– 1 and 15c3–1d to remove references to these requirements that are no longer in effect under the CFTC's rules. The Commission received comment stating that the Commission should remove references to the CFTC's segregated funds requirement from Rules 15c3-1 and 15c3-1d. The commenter stated that the 4% of segregated funds requirement "is an outdated, irrelevant requirement, as the CFTC has not imposed the 4% requirement for nearly two decades."[376] In light of the comments received, which merit further consideration, the Commission is not amending Rules 15c3-1 and 15c3-1d to remove references to the CFTC's segregated funds requirement at this time.

2. Statement of Income (Loss) or Statement of Comprehensive Income, As Applicable

The Commission also proposed to amend FOCUS Report Part II's income statement. Prior to these amendments, the income statement only provided fields for reporting revenue from securities commissions, even though firms may generate revenue from other types of commissions (e.g., commodity transactions and insurance products). Because it is important for the Commission to receive comprehensive data on all types of commission revenue to ensure compliance with relevant rules and properly supervise firms, the Commission proposed to revise the revenue section of the income statement to account for these other types of commission revenue.[377]

One commenter generally requested that the Commission update the FOCUS Report for consistency with generally accepted accounting principles ("GAAP") and coordinate more

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[376] See Letter from Kyle Brandon, Managing Director and Head of Derivatives Policy, Securities Industry and Financial Markets Association (Nov. 21, 2023) ("SIFMA 11/21/2023 Letter") at 1-2.

[377] The Commission proposed to revise Line 1E and add new Lines 1F-1H in the Revenue subsection in the Income Statement section of FOCUS Report Part II.

closely with the FINRA and other regulators when updating the FOCUS Report, pointing out as an example that FOCUS Report Part II's income statement is missing information found in FINRA's Form SSOI.[378] The changes to FOCUS Report Part II have been coordinated with FINRA and CFTC staff, and are intended to align this section of the form to be more consistent with FINRA's Form SSOI's key revenue and expense categories but is not an exact mirror of FINRA's Form SSOI, as Form SSOI will continue to be a source of detailed income statement information. Further, the Commission has endeavored to keep the FOCUS Report consistent with current accounting principles including GAAP.[379] The Commission received no other comment on this proposal and for the reasons discussed above, is adopting it as proposed with unique line-item numbers assigned to the new lines, and one correction to the formula in line 1H.[380]

3. Computation of CFTC Minimum Capital Requirements

CFTC rules permit a firm that is registered with the CFTC as an introducing broker, an FCM, or a swap dealer, and also registered with the Commission as a broker-dealer or SBS Entity, to file the FOCUS Report in lieu of the unaudited financial reports required under the CFTC regulations.[381] Because the CFTC is not receiving its own form from these dual registrants and relies upon the Commission's FOCUS Report as a source of data for these firms,

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378 See Integrated Solutions Letter at 1-2.

379 See, e.g., Recordkeeping and Reporting Requirements for Security-Based Swap Dealers, Major Security-Based Swap Participants, and Broker-Dealers, Exchange Act Release No. 87005 (Dec. 16, 2019), 84 FR 68550, 68676 (Dec. 16, 2019) (amending FOCUS Report Part II to incorporate the concept of LLC interests in the Ownership Equity subsection); Disclosure Update and Simplification, Exchange Act Release No. 83875 (Aug. 17, 2018), 83 FR 50148, 50227 (Oct. 4, 2018) (amending FOCUS Report Part II to incorporate the concept of comprehensive income).

380 The formula in line 1H is being corrected so that it now reads "(sum of Lines 1E, 1F, and 1G)" instead of "(sum of Lines 1E and 1H)".

381 See 17 CFR 1.10(h); 17 CFR 23.105(d)(3).

the Commission's FOCUS Report includes several sections or schedules set forth in the CFTC's Form 1-FR that address the segregation of customer funds and the calculation of CFTC minimum capital requirements to ensure the CFTC receives complete information about these firms.[382]

While FCMs are required to complete the Computation of CFTC Minimum Capital Requirements section of FOCUS Report Part II, the FOCUS Report fails to instruct CFTC-registered introducing brokers or swap dealers not also registered as an FCM ("stand-alone introducing brokers" or "stand-alone swap dealers," respectively) to complete this section of the form. Therefore, the Commission proposed to require CFTC-registered introducing brokers and swap dealers that are also registered with the Commission as a broker-dealer or SBS Entity to complete the Computation of CFTC Minimum Capital Requirements section of FOCUS Report Part II. The Commission received no comment on this change and for the reasons discussed above, is adopting it as proposed with unique line-item numbers assigned to the new lines.

4. Technical Corrections to FOCUS Report Parts IIA and II

The Commission is making two technical corrections to FOCUS Report Part IIA. First, lines 11 and 15 of the Computation of Net Capital Requirement are being updated to replace the incorrect cross-reference to line 19 with a corrected cross-reference to line 18 so that the form matches the requirements of Rule 15c3-1.[383] Second, in response to comment received during a

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382 See FOCUS Report Part II's Computation of CFTC Minimum Capital Requirements, Statement of Segregation Requirements and Funds in Segregation for Customers Trading on U.S. Commodity Exchanges, Statement of Cleared Swaps Customer Segregation Requirements and Funds in Cleared Swaps Customer Accounts under Section 4d(f) of the Commodity Exchange Act, Statement of Segregation Requirements and Funds in Segregation for Customers' Dealer Options Accounts, Statement of Secured Amounts and Funds Held in Separate Accounts for Foreign Futures and Foreign Options Customers Pursuant to CFTC Regulation 30.7.

383 See lines 11 and 15 of the Computation of Net Capital Requirement section of FOCUS Report Part IIA.

meeting with FINRA representatives,[384] the Commission is amending FOCUS Report Part IIA to require broker-dealers using the alternative method to compute net capital to report the percentage of debt to debt-equity total.[385] This amendment is appropriate because it correctly conforms the FOCUS Report Part IIA to paragraph (d) of Rule 15c3-1, which requires that all broker-dealers compute the percentage of debt to debt-equity total.

The Commission is making one technical correction to FOCUS Report Part II to add a new line item in the Computation for Determination of Customer Reserve Requirements and the Computation for Determination of PAB Requirements sections to align these sections of the FOCUS Report Part II with the amendments to Rule 15c3-3a that the Commission adopted in December 2023.[386] The same release amended Rule 15c3-3a to permit margin required and on deposit at a covered clearing agency for U.S. Treasury securities to be included as a debit item in the customer and PAB reserve formulas, subject to certain conditions.[387] The technical

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384 See Memorandum to file number S7-08-23 from Valentina Minak Deng regarding meeting with representatives of FINRA (Oct. 4, 2023), available at https://www.sec.gov/comments/s7-08-23/s70823-267599-644062.pdf.

385 See new line 26 of the Computation of Alternate Net Capital Requirement section of FOCUS Report Part IIA.

386 See 17 CFR 240.15c3-3a; Standards for Covered Clearing Agencies for U.S. Treasury Securities and Application of the Broker-Dealer Customer Protection Rule with Respect to U.S. Treasury Securities, Final Rule, Exchange Act Release No. 99149 (Dec. 13, 2023), 89 FR 2714 (Jan. 16, 2024) ("Treasury Clearing Adopting Release"). The technical amendment to Rule 15c3-3a inserted a new Line 17 in both the customer and PAB reserve formulas as a new debit item for margin required and on deposit with a clearing agency registered with the Commission under section 17A of the Exchange Act (15 U.S.C. 78q-1) resulting from the following types of transactions in U.S. Treasury securities in customer accounts that have been cleared, settled, and novated by the clearing agency: (1) purchases and sales of U.S. Treasury securities; and (2) U.S. Treasury securities repurchase and reverse repurchase agreements. See Treasury Clearing Adopting Release, 89 FR at 2826. See also Note H to Rule 15c3-3a. As a result of the new line items, the remaining line items in the computations of the customer and PAB reserve formulas are renumbered to reflect the addition of the new debit item.

387 See Treasury Clearing Adopting Release, 89 FR at 2826.

amendment to the FOCUS Report Part II reflects the update of the schedules to reflect adoption of the new debit item.[388]

B. Harmonizing FOCUS Report Part IIC with the Call Report

FOCUS Report Part IIC requires SBS Entities that are dually registered with a prudential regulator ("bank SBS Entities") to report certain information domestic banks already report on Federal Financial Institutional Examination Council ("FFIEC") Form 031 (also known as the "Call Report"),[389] in an effort to reduce the administrative burden of completing FOCUS Report Part IIC. The FOCUS Report Part IIC is closely modelled on FFIEC Form 031, and when the same information is solicited in both FFIEC Form 031 and FOCUS Report Part IIC, the same line-item number is used in both forms, except that the FOCUS Report Part IIC line item ends with an additional "b" character.[390]

However, as discussed in the Proposing Release, since FOCUS Report Part IIC was adopted, FFIEC Form 031 has been updated resulting in inconsistencies between FOCUS Report Part IIC and FFIEC Form 031. Therefore, the Commission proposed to amend the assets and liabilities subsections of the Balance Sheet section,[391] the Regulatory Capital section,[392] and the

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388 The Commission is adding Line 17 and renumbering the subsequent lines and cross-references to those lines in the Computation for Determination of Customer Reserve Requirements and Computation for Determination of PAB Requirements sections of FOCUS Report Part II.

389 See Federal Financial Institutions Examination Council, Consolidated Reports of Condition and Income for a Bank with Domestic and Foreign Offices – FFIEC 031, available at https://www.ffiec.gov/pdf/FFIEC_forms/FFIEC031_202203_f.pdf.

390 See Form X-17A-5 Part IIC.

391 The Commission proposed the following changes to the Balance Sheet section of FOCUS Report Part IIC: (1) add new Line 2C; (2) revise Lines 4B, 4D, 10, 15, and 16; and (3) delete Lines 10A and 10B.

392 The Commission proposed the following changes to the Regulatory Capital section of FOCUS Report Part IIC: (1) delete Line 4 and renumber subsequent lines; (2) revise renumbered Lines 4, 9, and 10, and parenthetical note after Capital Ratios subheading; and (3) add new Line 8.

Income Statement section[393] of FOCUS Report Part IIC to harmonize FOCUS Report Part IIC with FFIEC Form 031. The Commission received comment supporting these proposed changes and encouraging further amendments to conform FOCUS Report Part IIC to additional changes made to FFIEC Form 031 since the date of the Proposing Release.[394] The Commission agrees that FOCUS Report Part IIC should align with FFIEC Form 031. Therefore, in addition to adopting its proposed changes to FOCUS Report Part IIC, in response to the comments the Commission is also amending the assets subsection of the Balance Sheet section[395] and the Income Statement section[396] of FOCUS Report Part IIC to match the current version of FFIEC Form 031.

One commenter asked the Commission to require FOCUS Report Part IIC to be filed in XBRL format since FFIEC Form 031 is already required to be prepared in XBRL format.[397] While this would make FOCUS Report Part IIC more consistent with FFIEC Form 031, this change would make the format of FOCUS Report Part IIC inconsistent with the format of FOCUS Report Parts IIA and II. More specifically, there is already a long-standing system in place for receiving, distributing, and using FOCUS Report data, and converting FOCUS Report Part IIC to a separate format would be disruptive to both filers and regulators who are already familiar with the current process in the context of the FOCUS Report and use the current system to compare historical and current data. Finally, the Commission did not receive comment from

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393 The Commission proposed the following changes to the Income Statement section of FOCUS Report Part IIC: (1) revise Line 7; and (2) add new Lines F.i, F.ii, G.i, and G.ii, and delete Lines F and G's fill-in fields due to addition of sublines.

394 See SIFMA 5/22/2023 Letter at 8.

395 The Commission is revising Lines 2A and 2B of the Balance Sheet section of FOCUS Report Part IIC.

396 The Commission is revising Lines 6, 9.F., 9.G., 9.G.i., and 9.G.ii. of the Income Statement section of FOCUS Report Part IIC.

397 See XBRL Letter at 10.